

## MODULE-4

### DESIGN THINKING FOR STRATEGIC INNOVATIONS

Growth – Story telling representation – Strategic Foresight - Change – Sensemaking - Maintenance Relevance – Value redefinition - Extreme Competition – experience design - Standardization – ppl Humanization - Creative Culture – Rapid prototyping, Strategy and Organization – Business Model design

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#### What is strategic innovation

*The Art of Opportunity* is about how strategic innovation and business design thinking can grow existing businesses and create completely new ones by discovering opportunities for new growth and crafting strategies to seize these opportunities. Strategy is essentially about making choices about where to play and how to win. Strategic management theories offer frameworks to guide our thinking, help develop answers to these questions, and make such choices. The approach and concepts of *The Art of Opportunity* provide fresh and modern ways to look at these questions, enabling you to come up with more innovative answers than yesterday's traditional strategic management approaches might offer.

*A lot of companies struggle when attempting to achieve their growth and innovation targets with traditional frameworks.*

On a business level, traditional strategic management is primarily concerned with where to play and how to win. Where to play is framed as a choice of industry and product/market combination. Simply speaking, you pick an industry, say air transportation, and a market, for example continental flights in the United States, and you define your offering within this market, for example low-cost direct city-to-city flights.

How to win is mostly defined as achieving competitive advantage. Michael Porter's classic generic choices about how to achieve competitive advantage are to either

- (1) be a cost leader,
- (2) differentiate your offering, or
- (3) focus on a niche.

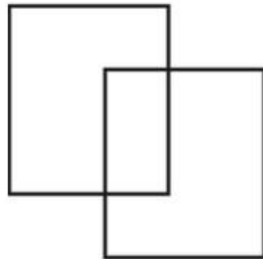
Treacy and Wiersema offer three choices to win:

- (1) product leadership (offer the best product by focusing on product innovation);

- (2) operational excellence (be a price and convenience leader by focusing on low cost, lean and fast production, and speedy delivery); or
- (3) customer intimacy (win by creating loyal customers through tailored offerings and focusing on customer relation- ships).

### **TRADITIONAL STRATEGY**

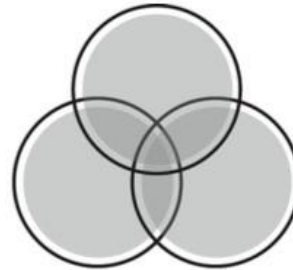
- I. Where to play
- II. How to win



vs.

### **STRATEGIC INNOVATION**

- I. Where to play
- II. How to play
- III. How to win



Strategy development and execution thereby follow a linear process of analyzing the situation and environment, followed by developing a strategy, and finally executing it. The underlying principle is that the development of the strategy has to be completed before the strategy can be executed.

To be clear: we don't suggest that these traditional strategic management approaches do not work. For some organizations and in certain industries, they work extremely well, if applied in the right way. Yet a lot of companies also struggle when attempting to achieve their growth and innovation targets with these traditional frameworks.

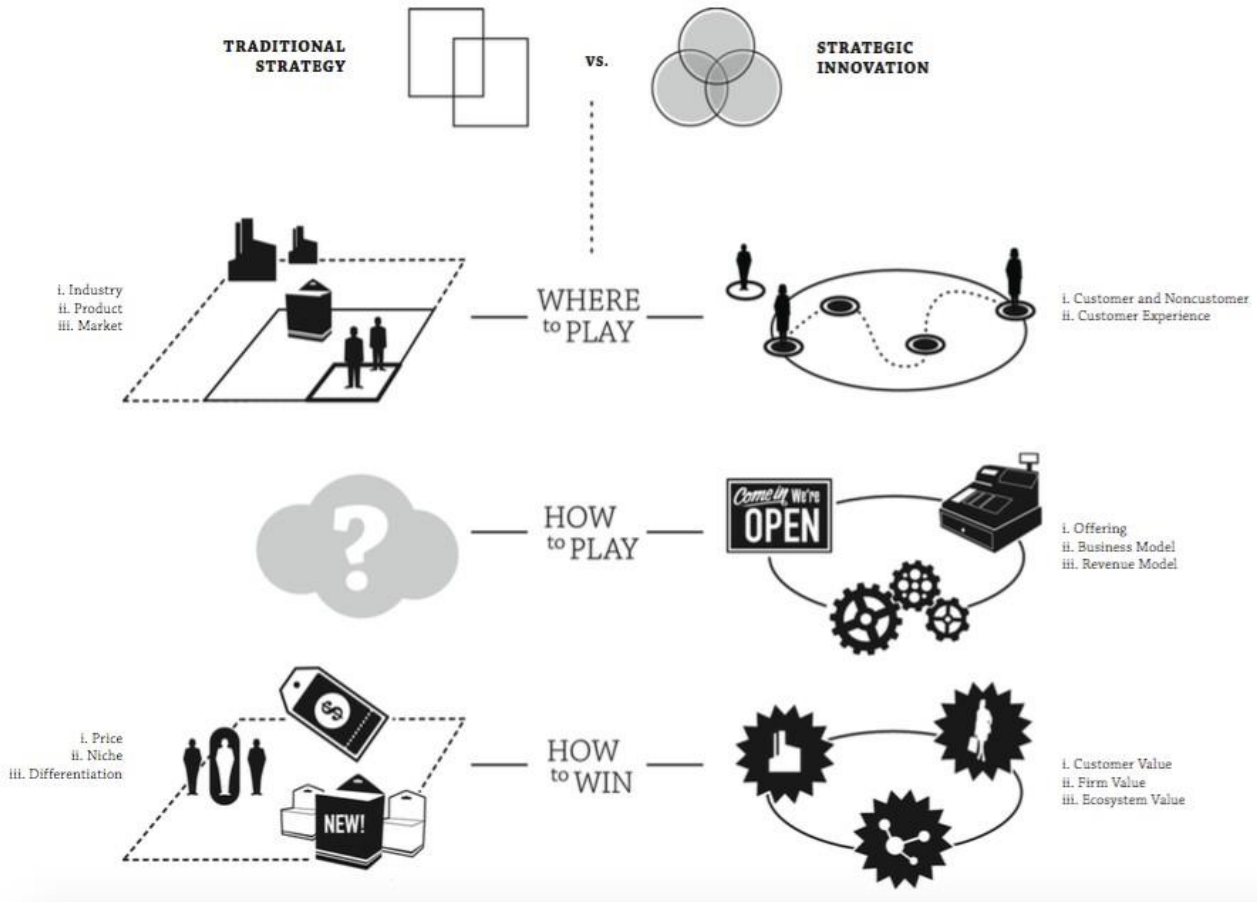
### **How does our take on strategic innovation differ from these more traditional approaches?**

First of all, we shift the objective from focusing on achieving competitive advantage by simply being cheaper or different to finding and seizing opportunities by creating value. Traditional strategy is focused on the company, trying to position the company as being a cost leader, being different, focusing on a niche, or something similar, as we have seen. But being cheaper or different alone is simply no longer enough to be successful (if it ever was).

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*The Art of Opportunity* takes an entrepreneurial stance, looking beyond positioning your company to a larger holistic perspective that involves creating value for your customer, your firm, and your business ecosystem. Only by creating value for a multitude of stakeholders does your company have the potential to be successful. And creating value is achieved through more than simply offering a cheap or different product, to include products, services, the entire customer experience (CX), your business model, and your revenue model.

Having described the differences, let's examine The Art of Opportunity's approach to designing your strategy. The book offers a fresh perspective to look at three areas: 1) Where to play, 2) How to play, and 3) How to win.



### Where to play: find your opportunity

Where to play is all about finding your new growth opportunities. Instead of focusing on industries, markets, and competitors, we focus on customers, non-customers, their needs, the customer experience, barriers to consumption, and hurdles to satisfaction. Opportunities are a function of the chosen customer segment, its needs, and expectations toward the solution offering, and current barriers to consumption or hurdles to a satisfactory customer experience.

### How to play: craft your strategy

How to play is all about crafting the strategy and designing the business required to seize these opportunities. Defining how to play requires you to craft your:

- Offering: The unique blend of products, services, and the customer experience.

- Business model: The necessary set of activities to create and deliver your offering, in a specified sequence of these activities, employing the skills, capabilities, and assets necessary to do so and identifying who provides them, plus how you work with your partners.
- Revenue model: The combination of your revenue streams, pricing mechanisms, and payment schemes.

### **How to win: create value**

Instead of simply addressing cost and pricing or product/service differentiation, we focus on creating three types of value:

1. Customer value: Solving your customers' needs better than anybody else by removing barriers to consumption and hurdles to satisfaction.
2. Firm value: Crafting a strategy that will generate value for your company in terms of opening up further opportunities and operational and financial benefits.
3. Ecosystem value: Creating strategic, operational, and financial value for your partners and the larger ecosystem your company is embedded in and relies on.

Finally, we show how the process for strategy making and execution and for building new growth businesses is neither entirely linear nor completely iterative. Instead we will illustrate how companies go through an iterative process consisting of three phases characterized by a bias toward action over analysis and planning.

### **What is business design thinking?**

If strategic innovation focuses on the content of your new growth strategy and the process of crafting that strategy, business design thinking focuses on the practices that enable your team to achieve success more effectively and efficiently.

In short, business design thinking is a collection of principles (of which visual thinking is a key methodology) to help understand, address and develop solutions to business problems. It can also be considered a strategic mindset (or way of working) that focuses on understanding audiences, visualizing ideas and information, working collaboratively and learning iteratively, all while keeping an eye on a holistic picture. This approach has been proven to open new channels to creativity, actively engage participants and stakeholders, build clarity and consensus, and accelerate speed to market.

### The five principles of business design thinking

1. **Keep a human-centered focus:** Put people, not objects, at the heart of your story. An empathetic, human-centered focus creates value for not only the customer, but all stakeholders, including employees, shareholders, suppliers, and vendors.
2. **Think visually and tell stories:** Visualization enables us to more easily and clearly share our ideas and develop them with others. Visual storytelling brings ideas to life and creates the understanding and alignment that accelerates decision making.
3. **Work and co-create collaboratively:** Bring together diverse perspectives. Creating solutions to a shared problem within a multi-disciplinary group builds support and can generate breakthrough ideas.
4. **Evolve through active iteration:** Build to understand. Iteration enables you to learn reflectively during the process of creation. The result is quicker, more successful adaptation and evolution of your ideas, solutions and/or strategies.
5. **Maintain a holistic perspective:** View the organization as a dynamic, open system of interrelated processes. This vantage point can help you identify opportunities to break down silos, improve efficiency, and create context for understanding.

*The Art of Opportunity* incorporates each of the five principles of business design thinking to embody the practitioner's way of working. Most prominently we have incorporated visual thinking—from illustrations that accelerate understanding of new ideas to visually-based activities and templates to drive clarity, spur collaboration and build support. The process encourages cyclical development that supports iterative learning and we actively promote identification of value through holistic perspectives.

Executives applying the business design thinking way of working will develop capabilities and practices different from those of their peers. We admit we're biased. We have seen how businesses can apply business design thinking to create the greatest value for their customers, employees, and ecosystems. Employees feel empowered to use their judgment to make decisions. They are trusted and supported to do the right thing and rewarded for their creativity and initiative. Customers appreciate the resulting quality and value provided by the firm's products and services, thereby increasing the firm's financial and brand value. Partners within the ecosystem gain value similarly, through increased business and by association with the firm.

### Getting started

Our research has found that growth initiatives have a greater chance of success when they share the following common characteristics:

- A dedicated, diverse team.
- Visible and acknowledged sponsorship of, and commitment to, the initiative from the leaders of the organization.
- Dedicated time, resources, funding, and physical space.
- Clear goals and expectations, and time-bound parameters.

- Open, continuous communication — to everyone, all the time.
- Employ visual thinking and storytelling to manage complexity.

Of these characteristics, the most critical is a dedicated, diverse team. You will need a mix of interdisciplinary thinkers representing key stakeholder groups to execute the strategic innovation process. Seek individuals who can devote (or have been given leave to dedicate) the required time and possess the following business design thinking skills, characteristics, and capabilities:

- Applies an open mind and actively uses experimentation and iteration to solve problems.
- Empathizes with others and keeps the customer/user at the center of every decision.
- Sees the bigger picture — and finds connections between seemingly unrelated points and processes.
- Feels comfortable with ambiguity and uncertainty.
- Can express themselves clearly (whether using visual thinking or not) and engages in open, meaningful dialogue.
- Co-creates and collaborates with individuals and teams.
- Has a growth mind-set, which is a passion for learning rather than a hunger for approval

## GROWTH

Growth is at the forefront of every business leader's mind.

The process of redefining the boundaries of business and making explicit decisions regarding who it will and will not serve often sparks intense debates around any growth strategy. Most organizations, however, aspire to grow in order to prosper, not just survive. Growth means different things to different organizations. There are many dimensions a company can select to measure its growth. Although the ultimate goal of most companies is profit, other financial data may be used as indications of growth.

Growth is also the very essence of entrepreneurship, including corporate entrepreneurship. Most businesses develop specific plans that, over time, will move their business to a level that meets the goals of the executive team, the shareholders, and the investment community.

## GROWTH NEEDS A STRATEGY, AND EVERY STRATEGY NEEDS A STORY

Growth means creating a clear and compelling vision of the future. Your vision needs to be very clear in terms of what you want from your business. The questions: How do we plan to attach an adjacency? How do we become the market leader? How about expanding to multiple geographies? And what's in it for managers and employees? Ultimately, the most meaningful yardstick is one that shows progress with respect to an organization's stated goals, whatever they are. So how do you develop your organization's stated goals? How do you develop the vision of where you want the organization to be in the future?

### **Design Thinking Approach for Business Challenge (Growth)**

People who most successfully practice design thinking are curious, imaginative, and filled with wonder. Stories reveal the hopes, dreams, and aspirations of authors, readers, populations, and cultures. They can also reveal the hopes, dreams, and aspirations of large organizations. Every time a large-scale change effort fails, it's because management fails to connect with mid-level executives and employees in a meaningful way.

Good storytelling is a technique where a leader is tasked with reframing an organization's past, present, future, problems, needs, desires, and hopes using a narrative built on salient metaphors to help people understand and connect with the company, its values, and its purpose. Storytelling is a technique to harmonize the company's vision and translate the key elements of a strategy into a compelling and accessible narrative that connects the past with the present and the future in a cohesive way.

How to tell a story:

**Make it collaborative:** Whether you engage multiple stakeholders in shaping the narrative and its presentation through some form of crowdsourcing or co-creation or you simply gather input from employees at every level through informal conversations, it's important to ensure that elements of what you are about to tell resonate with the audience.

**Make it engaging:** Consider the simple power of videos, the tangibility of beautiful print, or out-of-office immersions in spaces or places that will inspire people through new experience.

**Make it structured:** storyteller and the audience know this structure, they are able to focus on the content of the story.

**Make it performative:** A storyteller engages an audience through an oratory recounting of a narrative. An effective storyteller does not simply speak the words but rather brings them to life by leveraging dramatic techniques such as body language, tone, tempo, and timing.

**Make it tangible:** To help illustrate intentions and what the future might look like, consider how technology demonstrations, prototypes, and other seeable and touchable artifacts can signal the strategic intentions of the organization and articulate how to move, grow, and transform in a particular direction.

**Make it fun:** Build interactive narratives in the form of games or simulations that enable the audience to encounter stories in a holistic, self-guided, interactive way.

**Make it real:** Fictiveness refers to how true a story may be. The fictiveness of a story is related to its plausibility, its applicability, and its potential to explain something.

**Interpretation of design thinking to Growth challenge:** These frameworks allow people to benefit from empathetic role-play and explore the goals, choices, decisions, motivations, actions, and successes and failures in a more intuitive way. Paths toward organizational transformation and growth can be communicated effectively through the development of characters, personas, artifacts, and future-oriented archetypes that sit within familiar narrative structures. Stakeholders can easily identify, engage, debate, or learn by exploring their choices, actions, and experiences within a variety of contexts and situations. Narratives tie the past, present, and future of an organization together.



## STORY TELLING REPRESENTATION

### What is Storytelling?

Designers use storytelling to get insight into users, build empathy and reach them emotionally. Designers create personas to represent target users and add conflict to stories that reflect their user journeys and problems. Crafting stories, designers can better understand what users want from a solution.

### How Storytelling Works in Design

Good stories always captivate audiences. In user experience (UX) design, you use storytelling throughout the design process to ensure that all work focuses on the users' needs and the value you want to give those users. After completing design research to understand your users' needs and desires, you use your insights to tell a story about who your users are, what they need and how you'll provide that. This story makes it easy for everyone involved in the project to empathize with the users and ensure that their work matches the story. Having a story throughout your project means marketing the design at the end of the design process is also straightforward, as you already know exactly which story to tell to show how your product provides value.

“People think that stories are shaped by people. In fact, it’s the other way around.”

—Terry Pratchett, Famous fantasy author

What Makes Good Stories?



The renowned philosopher Aristotle wrote extensively on storytelling. His formula is a checklist for what your stories should contain.



1. **Plot** – What are users trying to achieve/overcome?
2. **Character** – Who are the users: not just demographically, but what insights do you need to understand what they (and their needs) are truly like?
3. **Theme** – How can you establish a trustworthy presence to them and still set yourself apart from competitors? How will you reflect the overall obstacles users must overcome?
4. **Dialogue/Diction** – What will your design say to users and how? Does a formal/informal tone match their expectations? How much text is appropriate?
5. **Melody** – How will the overall design pattern appear pleasant and predictable to users, moving them emotionally?
6. **Décor** – How will you present everything so the graphics match the setting the users can sense? Would a classic design or stylized, niche layout meet their expectations?
7. **Spectacle** – How can you make your design outstanding so users will remember it?

### How to Reach Users through Stories

You can use storytelling in your design process to present your user research results in an engaging way and create empathy with your target users. This will help you steer the design process and keep it user-centric. Here's what you can do:

1. **Define your target users with personas** – to envision users' likely experiences and gain empathic insights. Personas are based on user research but tell a story about your insights. An example persona might be "Rick", a 47-year-old manager struggling with his work–family-life balance. He even works on his train commutes. Feeling drained, he wants better control of his life.
2. **Create a plot, with conflict** – to make the personas heroes and envision how they can overcome specific problems using your design. Make this a mapped-out journey or storyboard with each persona's aim/s clearly defined. E.g.:
  - a. Rick discovers your (yet-to-be-designed) time-management app online. He downloads it and completes your questionnaire about work commitments, family, outgoings, etc.
  - b. He starts using your app, letting it collect data from his phone and fitness tracker about time on various tasks/activities, stress levels, alertness, etc.
  - c. After a week, your app charts his tasks and activities, including sleep, heart-rate data, etc.
  - d. Tapping a phone tab, Rick sees time-management suggestions on how to become more productive, well-rested, etc.
  - e. He has the option to continue or suspend monitoring (e.g., if on holiday/vacation).
3. **Give your design the supporting role** – show it improving your persona's/user's life and how easy it is to use. For example, consider how many steps Rick needs to use your app and if voice-controlled devices at home might influence its suggestions.
4. **Work with the setting** –When and where users use your design is vital for building empathy. For Rick, it's the home, train and workplace. But what about (e.g.) busy professionals working from home?

5. **Tailor the look/feel** – Your design’s appearance is vital regardless of its functional benefits, so design the most appropriate (e.g.) layout, colors, typography. For example, Rick prioritizes an at-a-glance, easy-to-use design, but soothing colors would complement larger fonts, etc.

Always Consider

- **The What** – The user problem/s you define: E.g., They work too much overtime because of...? Budgeting problems at home?
- **The Who** – The users themselves, envisioned through personas. This includes people who play influential roles in the main user’s/persona’s story. You can identify them using customer journey maps.
- **The How** – Your story arc, with a beginning, middle and end. From introducing the player/s at the beginning, you build towards their biggest problems (which many factors can affect) and finish with the happy ending your design delivers.



Your story narratives are “magic mirrors”—proving fine-tuned empathy and connection with users’ values—where users discover how to make their own happy endings. Ultimately, your design should predict your target users’ actions at every level possible. Testing will help confirm how successful it is.

## STRATEGIC FORESIGHT

### What is Strategic Foresight?

Thinking about the Future

Thinking about the future is an innately human activity, practiced for millennia in order for us to survive and evolve, and mainly concerned with short or medium-term horizons. Often beginning ten-years out, strategic foresight gives us tools and methods to think about multiple futures in a way that helps us anticipate change in a volatile, uncertain, complex and ambiguous (VUCA) world.

As stated by Kedge: The Futures School, Strategic Foresight "is an organizational, social, and personal practice that allows us to create functional and operational views of alternative futures and possibilities."

Using these tools we can imagine, explore and probe how the world could be across a range of probable and possible futures. We then create visions of how we see the world in a preferred future, in order to create action in the present and 'pull' the desired future towards us. There are many overlaps between strategic foresight and design (thinking), including research practices, large-scale sensemaking, abductive reasoning and the creation of ideas, insight and prototypes- although design is mostly concerned with an existing problem change along shorter timelines. Design is also generally focused on transitioning from a current state toward an improved future state.

Strategic foresight moves further upstream, where we identify weak signals, extrapolate trends and examine the wider environment to frame different scenarios of how the world could be, creating insight and catalysing change. The aim is not to pick a state and transition, but, to quote Sohail Inayatullah "continuously investigate our assumptions of what we believe the future will or should be like."



A delivery robot photographed in Palo Alto, near Institute for the Future

### Strategic Foresight Methods

There are three 'flavours' of strategic foresight, which influence our work:

#### Institute for the Future

IFTF were born out of the RAND Corporation 50 years ago, and are based in Palo Alto in Silicon Valley. Although they regard themselves as methodologically agnostic, they have developed a broad and deep toolbox, whilst their process cycles through four stages: PREPARE > FORESIGHT > INSIGHT > ACTION

#### Sohail Inayatullah

Professor Inayatullah was awarded the first UNESCO Chair in Futures Studies in 2015. In 2010, he was awarded the Laurel award for all-time best futurist by the Shaping Tomorrow Foresight Network. He is known for developing the 6 Pillars method for transformative futures alongside Dr Ivana Milojevic.

### **Experiential Futures**

Experiential futures is an evolving, contemporary approach to futures thinking created by Stuart Candy and Jake Dunagan. Experiential futures focuses on a nested concept of three spaces:

#### **Setting**

The theme or kind of the future to be explored (e.g. generic image of the future)

#### **Scenario**

A specific narrative proposition and sequence of events that emerge from the setting

#### **Situation**

The circumstances of encounters where particular events are given physical form at 1:1 scale in various media.

The goal of experiential futures is “the design of situations and stuff from the future to catalyze insight and change (in the present).”

## **CHANGE – SENSEMAKING**

Change is the heart of leadership, and leaders must understand its context before designing and implementing any change program. Organizations need to plan for change. At a minimum, they should be able to effectively react to problems as they arise. Simply stated, an organization that not only is prepared for but expects change is one that can overcome challenges. where change is reshaping industries and categories. Whether it's the bursting economic bubbles of the past decade, shifts in regulations, competition from emerging markets, new consumer expectations, or the impact of consumer conversations on the role, value, and legitimacy of brands.

The research and literature on change indicate that the number one reason for the success or failure of a change initiative hinges on the leadership skills, level of energy, and knowledge of the individuals responsible for leading the change. For many companies, this resistance to change is the beginning of a slow and continuous decline. Products become obsolete. Brands become irrelevant. Organizations become complacent.

Organizational change ultimately comes down to dealing with three components

- Discrepancy
- Appropriateness
- Efficacy

### **Design Thinking Approach for Business Challenge (Change)**

Sense making is a required capability for developing change competency. A plan is needed—not just as a reaction to change, but also in anticipation of it. It is important to realize that you will need to apply other design thinking tools and techniques to change as well. Sense making can be a one-time or continuous effort to understand connections and insights in any particular context in order to anticipate their impacts and then act effectively on them sense making takes an obscure situation that is clouded in uncertainty and complexity and makes it more understandable for decision makers Here, neither the frame nor the data are locked into place The frame informs the data, and the data, in turn, inform the frame. Sense making is more than just a process; it's a mind-set that is instrumental in the commitment to understanding, learning, and

improvement. In business contexts, the design thinking approach to sense making tends to lean toward the qualitative, rather than the quantitative. Design thinking employs sense-making techniques to understand, question, and confront change so that businesses can actively construct, rather than be passive victims, of the imminent. Sense making is the process by which design thinkers understand experience. Sense making is as much about pattern recognition as it is about anomaly detection. Through sense making, organizations can get a better sense of the timing required to design and launch a new product or service.

How does an organization redesign itself in order to incorporate an internal sense making capability?

- Improve the senses to increase agility
- Collect the real data
- Building sensing capabilities
- Cultivate sensing networks.
- Leverage social media

### **Interpretation of design thinking to change challenge:**

Sense making involves the process of creating mental models or mental maps that serve as memory representations with a salient visual imagery component expressed in terms of concepts, ideas, and knowledge. Every organization needs to find visual, interactive, and “movable” ways to organize the raw inputs of sense making that, well, make sense to it. Sensemaking is not a linear exercise, and it is not a process that turns information into insight. Sensemaking doesn’t always have clear starting and ending points. Visualization is often used interchangeably with sense making, but visualization is not just a shared image with intent; Visualization is central to sense making.

## **MAINTENANCE RELEVANCE – VALUE REDEFINITION**

Value redefinition is a design approach that helps develop a new voice and meaning that will not only resonate with consumers but also sideswipe the competition. Design thinking seeks relevance by promoting harmony with the identities, aspirations, attitudes, beliefs, needs, and desires that shape the ways people perceive and define value. It aspires to develop greater empathy among people, brands, and business by observing, engaging with, and listening closely to people. The design thinking approach to redefining value begins with people, not products. It seeks to locate the functional, emotional, social, and cultural values that already exist within or can be designed into a brand’s DNA and align those with the current and emerging values of consumers. Value is associated with a product, service, system, artifact, or relationship that provides a means to a desired end. Customer value is at the core of any competitive strategy and is often least managed, often resulting in individual marketing, brand, product development, and pricing decisions being made rather than a conscious strategic and design exercise being undertaken.

**starting point to clarify how customers perceive and define the value of your brand or business:**

- Identify the functional, social, cultural, and historical reasons that have driven value for your brand, product, or business.
- Determine how your key customers rate you versus competitors on these value drivers
- Define and articulate each of these value drivers in the context of the users.
- Identify the rate of change on each of these dimensions and look for signals to confirm which ones are slowing down and which ones are accelerating.

- Conduct a workshop to identify opportunities to redefine value Design and conduct a participative design session in which you invite customers to talk about these dimensions to validate
- Analyze the results and conduct a value-mapping workshop to explore how to redefine value to change the competitive landscape.
- The success of Ikea, Netflix, Zipcar, Nintendo, Amazon.com, Salesforce .com, Zappos, and EasyJet are all classic examples of companies that have been successful in redefining customer value to change the game.

**Interpretation of design thinking to Maintaining Relevance challenge:** The following non exhaustive attributes when thinking about customer value.

- How can you solve my problem quickly?
- How can you solve my problem the way I want it?
- How can you solve my problem anytime, anyplace?
- How can you solve a problem for me that I don't want to know about?
- How can you solve a problem that I don't even know I have?

### EXTREME COMPETITION – EXPERIENCE DESIGN

Experience design is a holistic and multidisciplinary approach to creating meaningful contexts of interaction and exchange among users and products, services, systems, and spaces. It considers the sensation of interactions with a product or service on physical and cognitive levels. Experience design is an established set of design thinking practices that, when performed properly, can enchant customers and create a sense of loyalty that will keep them coming back to you every time. Experience design highlights the importance of developing a clear understanding of consumer needs, cultures, expectations, assumptions, and capacities. Design thinkers critically observe and evaluate the various experiences they encounter throughout their day and reflect on how one may differ from another by asking, what makes a better experience, and why? Design thinking seeks to explore the wiggle room between brands like these and transform it into a competitive chasm. All experiences are functional, social, cultural, and personal. They are important, relevant, and meaningful to people. They have a past, present, and even a future subject to reflection and reflexivity.

#### UNDERSTANDING THE FOUR KEY DIMENSIONS OF EXPERIENCE DESIGN

- Determine the scope of the experience
- Understand the intensity of experience
- Identify the key experience triggers.
- Deepen the customer's engagement to evoke meanings



### **Interpretation of design thinking to Extreme competition challenge:**

Every company provides a customer experience. The implicit problem is knowing what will work or not work in terms of emotional engagement and economic and operational feasibility. It begins with using customer journey mapping to visually illustrate an individual customer's needs and goals, the series of interactions and information necessary to fulfill those needs, and the resulting emotional states a customer experiences throughout the entire process. Customer journey mapping succeeds when these exercises are based on ethnographic research and contextual inquiry that allow researchers to experience and perceive the emotions of customers, thereby making it possible for managers to convey more than just anecdotal quotations. The outcome of the exercise shows how customers feel throughout their journey, and customer journey maps invite stakeholders to enter the world of customers and share in their experience. In turn, stakeholders are better able to convey their story to management and frontline employees.

### **STANDARDIZATION – PPL HUMANIZATION**

Standardization is a necessary cost driver for every company. It is a means to achieve operational, cost, and performance efficiencies by streamlining activities, leveraging technologies, and maintaining employee workflow to reduce operating costs. But standardizing practices can mean losing the personal touch, reducing the choices customers have, and disconnecting employees. To streamline operations and be as profitably productive as possible, every company seeks to better leverage the powers of enterprise technology, design rule-driven workflows, and automate repetitive tasks. It makes sense not to reinvent the wheel every time you need to go for a drive. Like companies, many people prefer efficiency to inefficiency. We like reliability. We like consistency. When a company's primary focus is on making standardization its priority, it can lose sight of the emotional quotient of its brand and alienate consumers. Like people, companies are complex creatures, each with its own history, qualities, and characteristics that, when it comes to innovation, Standardization can make internal processes more efficient and effective. It can clearly establish common goals of performance that every employee must meet. It can provide common platforms that make a supply chain run faster and cheaper. In some cases, the standardization of legacy manufacturing poses a big challenge to innovation. When the client's market research department has such a fixed and highly rigid way of approaching, thinking about, and talking about customers and how it identifies their so-called needs using words such as target, segment, actionable, and the worst ever, reason to believe, standardization becomes the enemy of innovation. Design Thinking Approach for Business Challenge (Standardization) Design thinkers are sensitive to the human touch points that encourage and foster such emotions as profound moments of attachment to a product, service, or brand. The lack of humanization in experiences is not always purposeful but rather naturally occurs as standardization takes hold. Design thinkers remind businesses that they are ultimately responding to human values, beliefs, and needs. They understand that efficiency and standardization will always have a place in business processes but recognize that it's the human touch points that resonate most in real-life customer experience to give products, services, and brands true value and meaning. Understanding culture means unpacking all the social meanings (and emotions) that define a particular customer's experience. Design thinkers unpack each coffee context in search of humanization opportunities. Humanization doesn't just come from culture; it is also produced from within cultures.



Designers, like the businesses they work for, are people who impart social values and beliefs on the things they produce. Design thinkers seek to understand the cultures not only of others but also of themselves, recognizing that their own emotions, practices, and belief systems inform what, how, and why they do what they do. If all businesses are human enterprises that produce things made for human beings, it's time to start humanizing the business narrative. Design thinking seeks to reinsert human-centered qualities that can introduce new meaning. This means using real talk about the personal histories, dreams, and desires that define each worker, team, business unit, and office to produce human narratives of company culture that resonate worldwide.

### **Interpretation of design thinking to Standardization challenge:**

One route to greater humanization is reassessing how your organization does research on consumers and talks about or represents them. On the research front, consider hiring people who are specialists in human culture: sociologists, anthropologists, and other social scientists who specialize in understanding us without putting us in focus group facilities and looking at tracking studies. Humanization can be leveraged by usability, human factors, customer experience design, and brand storytelling. Brands that have been humanized attract and sustain communities of real live people and make customers more forgiving when organizations make mistakes.

## **STRATEGY AND ORGANIZATION – BUSINESS MODEL DESIGN**

Business process management is very important for any organization. It facilitates improving merits in operational procedures in daily business of organizations by providing concepts and methods to capture process and analysis. It has evolved as an organizational approach to structure and understands work procedures with more clarity to drive the daily business operations with the goal of improving them. e.g. an insurance company processing insurance claims. If five minutes time is saved on an average in the processing time of a single claim, considerable resources can be saved on a large number of cases that an insurance company deals with daily. From a business process management perspective, information about the persons, conditions of insurance to be gathered to perform the tasks for processing a claim. The process can reveal flaws and improvements for fast analysis and efficient processing. Design thinking can be used to capture and validate end-users needs and envision new products and services for building prototypes. In the absence of design Thinking such tangible prototypes are not feasible for complex software systems with multiple users. In design thinking the first step is to get the requirements of a system for users, customers and other stakeholders. Process models facilitate communication between different stakeholders such as business analysts, process participants and software architects. These models provide a shared understanding to enable all stakeholders to contribute to knowledge. Obtaining information and making process knowledge explicit is the function of business process modeling. The models are captured as visual diagrams. Process models provide information on roles, tasks, decisions, and information used. These models form the basis for discussions between the stakeholders, such as process assistants who process claims in an insurance company, managers to ensure claim processing quality, the top management looking for optimization and software architects supporting work of the employees by providing adequate software systems.

**\*\*\*\*\*Everything has changed, is changing and will continue to change\*\*\*\*\***

In 1960 MIT professor, mathematician, and Meteorologist Edward Lorenz formulated a model of the way air moves around the atmosphere, measuring changes in temperature, pressure, and velocity. By Modelling Weather, Lorenz discovered not only the fundamental mechanism of deterministic Chaos – the sensitive dependence on initial conditions or the “butterfly effect”-but also that long term weather forecasting was impossible. Similarly, much of what we do in business strategy and planning is an attempt to predict the future based on the present and past. Whether it is Business or any other systems-level organizational challenges, design thinking helps to appreciate and make sense of the complex connections between people, places, objects, events and ideas. Design Thinking is the most powerful driver of innovation, and guides long range strategic planning. Design thinking shapes business decisions that have to be based on future opportunities rather than past events. Innovation management is about more than just planning new products, services, brand extensions, technological inventions or novelties. Design Thinking powers strategic innovation.it can be used to begin at the beginning of an idea or used to unlock hidden value in existing products, services, technologies, and assets.

### Changing Management PARADIGMS

| 20 <sup>th</sup> century      | → | 21 <sup>st</sup> century      |
|-------------------------------|---|-------------------------------|
| Scale and scope               |   | Speed and Fluidity            |
| Predictability                |   | Agility                       |
| Rigid organization Boundaries |   | Fluid Organization Boundaries |
| Command and Control           |   | Creative Empowerment          |
| Reactive and Risk Averse      |   | Intrapreneur                  |
| Strategic intent              |   | Profit and purpose            |
| Competitive Advantage         |   | Comparative Advantage         |
| Data and Analytics            |   | Synthesizing Big Data         |

Design Thinking is a way to get Business people to think like designers and designers to think like business people. Design Thinking is the search for a magical balance between business and art, structure and Chaos, intuition and logic, concept and execution, playfulness and formality, and control and empowerment. Design Thinking is about cognitive flexibility, the ability to adapt the process to the challenges Design Thinking is not an experiment; it empowers and encourages to experiment. Design thinking is popular among educators and social entrepreneurs for social innovation because it approaches problem solving from the point of view of the end user and calls for creative solutions.

\*\*\*\*\*The illiterate of the 21st century will not be those who cannot Read and write, but those who cannot Learn, unlearn and Relearn. —Alvin Toffler\*\*\*\*\*

Applying Design Thinking to business problems empowers organizations and individuals within them to better understand their competitive and operational environment. Strategy planning is predicated on the availability of information. In the past there was not enough data to support meaningful analysis. today, it is the opposite thanks to big data.

What is big data? Typically describe in terms of three key things-

- The volume of information (the amount from all the sources)
- The variety of information (the nature of the information in all formats)
- The velocity of the information (the speed at which data are collected)

Big data might be helping some companies with making smarter strategic decisions, but they are also leading those companies down the quantitative path that has made it so hard for them to design for humans in the first place. Management tools, and techniques such as total quality management, enterprise resource planning, six sigma, lean startup, and agile systems. These tools are valuable for keeping an enterprise running smoothly. Companies such as Apple, Amazon.com, Netflix, Samsung, Burberry, And BMW are winning by design and the thinking behind that design. “Management is the least efficient activity in organization”. It can make strategic management efficient only if it makes it clearer. Sometimes, that clarity comes only from the inside. Applied design thinking in Business problem solving incorporates mental models, tools, processes, and techniques such as design, engineering, economics, the humanities and the social sciences to identify, define and address business challenges in strategic planning, product development, innovation, corporate social responsibility, and beyond.

### **Design Thinking principles that redefine business**

Humankind has survived thus far because design can work well together, communicate, empathize, anticipate, understand, and exchange. Design thinking is a reflection of these abilities. The culture behind its practices, principles, and process is potentially more empathetic, human-centered, and courageous than business management. A multifunctional and multi perspective approach to solving problems has influenced many of the principles inherent in design thinking.

### **The Ten Design Thinking principles that redefine business or business management are:**

#### **1. Action -Oriented:**

- It proposes a cross-disciplinary learning-by-doing approach to problem solving.
- It allows designers to accommodate varied interests and abilities through hands-on and applied learning experiences between individuals.
- A big part of design thinking is design doing.

### **2. Comfortable with change:**

- It is disruptive and provocative by nature because it promotes new ways of looking at problems.
- A large part of the design thinking process is stepping out of conventional roles and escaping from existing dogmas to explore new approaches to problem solving.

### **3. Human-centric:**

- It is always focused on the customer or end user's needs, including unarticulated, unmet, and unknown needs.
- Design Thinking employs various observational and listening-based research techniques to systematically learn about the needs, tasks, steps, and milestones of a person's process.

### **4. Integrates foresight:**

- Foresight opens up the future and invites designers to explore uncertainties.
- It encourages designers to be comfortable with working with unknowns and expects designers to cope with inadequate information in the process of discovering and creating a tangible outcome.

### **5. A Dynamic Constructive Process:**

- It is iterative
- It requires ongoing definition, redefinition, representation, assessment, and visualization.
- It is a continuous learning experience arising out of a need to obtain and apply insights to shifting goals.
- Prototyping, creating tangible sharable artifacts, become an important piece of the design thinking tool.

### **6. Promotes Empathy:**

- Design Thinking encourages the use of tools to help designers communicate with people in order to better understand their behaviors, exceptions, values, motivations and the needs that drive them and will improve their lives.
- Designers use these insights to develop new knowledge through creative learning and experimentation.

### **7. Reduces Risk:**

- Whether it is developing and launching a new product or service, there are many benefits in learning from small and smart failures.
- This will always happen, but applied design thinking practices help reduce risk by considering all factors in the development ecosystem, including technology, the market, competitors, customers, and supply chain.

### 8. Create Meaning:

- Creating meaning is the hardest part of the design process, and the communication tools used in design thinking-maps, models, sketches and stories -help capture and express the information required to form and socialize meaning.
- Arriving this takes time and emerges through multiple iterations and conversations.

### 9. Bring Enterprise creativity to next level:

- Design thinking fosters a culture that embraces questioning, inspires frequent reflection in action, celebrates creativity, embraces ambiguity, and creates visual sense through interactions with visualizations, physical objects and people.
- Design thinking organization creates strong 'inspirationalization' and sensibility to give tangibility to the emotional contract that employees have with organizations.

### 10. The New Competitive Logic of Business Strategy:

- Design thinking is the most complementary practice that can be applied side by side with Michael Porter's theory of competitive strategy.
- It allows companies to create new products, experiences, processes and business models beyond simply what works.
- It turns designers into desirable products, which is a truly sustainable competitive advantage through innovation.

| Business challenges       | Design thinking solutions |
|---------------------------|---------------------------|
| Growth                    | Story telling             |
| Predictability            | Strategic foresight       |
| change                    | sensing                   |
| relevance                 | Value redefinition        |
| Extreme competition       | Experience Design         |
| Standardization           | Humanization              |
| Creative culture          | Prototyping               |
| Strategy and organization | Business model design     |